DR. NILESH SHAH - STOCKS FAIRSCOPE

Independent Fair Value & Risk Report

HDFC Bank Limited

HDFCBANK.NS • NSE • INR • Financial Services

MARKET PRICE	FAIR VALUE	UPSIDE / DOWNSIDE	MOS PRICE
INR 725.90	INR 916.50	+26.3%	INR 660.09

Below estimated fair value — safety margin not met

Confidence 71/100 • Required MOS 28% • Financial institution

Analysis ID	FS-20260820-832D249060F4
Model	FairValueEngine 4.3 • Audit schema 1.3
Data	Yahoo Finance + Screener.in • network
Generated	20 Aug 2026, 07:40 UTC

Automated research estimate • Verify all data and assumptions • Not investment advice

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Fair Value Analysis

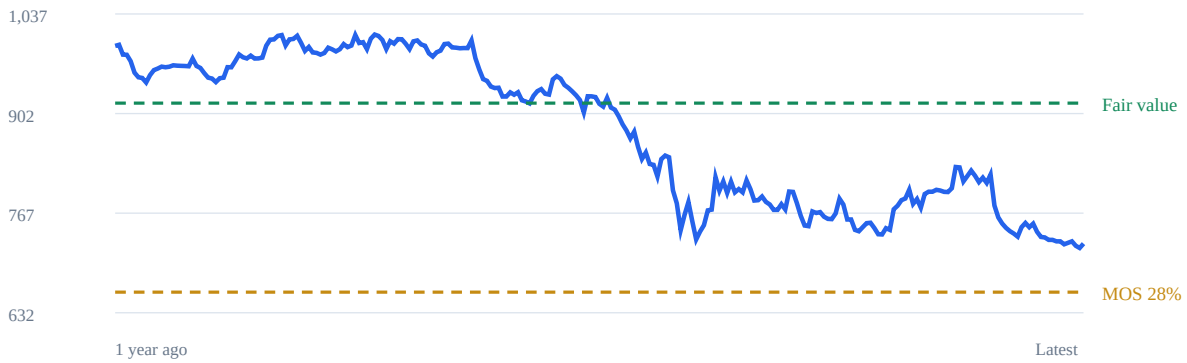
HDFC Bank Limited (HDFCBANK.NS) • NSE • Generated 20 Aug 2026, 07:40

Executive summary

MARKET PRICE	BASE FAIR VALUE	UPSIDE / DOWNSIDE	28% MOS PRICE
INR 725.90	INR 916.50	+26.3%	INR 660.09

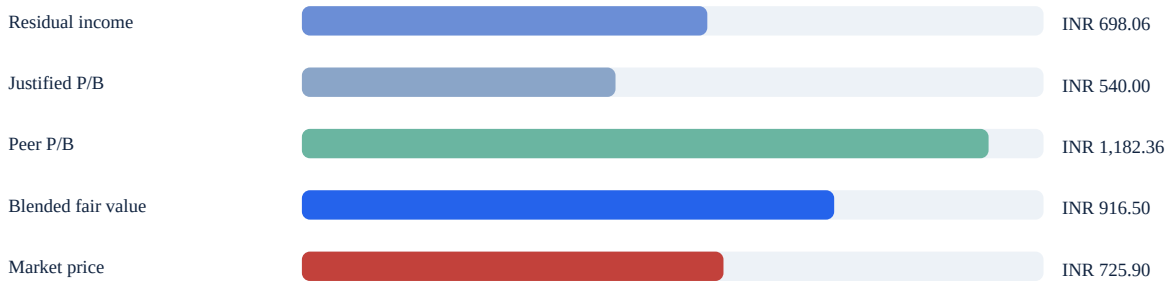
Assessment: **Below estimated fair value — safety margin not met** | Model coverage: **Moderate**

Price vs valuation



The historical line is market price; fair value and MOS are today's model references, not historical estimates.

Base model comparison



Scenario valuation

Scenario	Growth	Discount	Terminal	Residual income	Justified P/B	Peer P/B	Blended
Conservative	12.8%	13.5%	4.0%	INR 391.18	INR 410.53	INR 1,182.36	INR 789.67
Base	16.8%	11.5%	5.0%	INR 698.06	INR 540.00	INR 1,182.36	INR 916.50
Optimistic	20.8%	10.0%	6.2%	INR 1,557.02	INR 806.00	INR 1,182.36	INR 1,257.03

Company & market snapshot

Sector	Financial Services	**Industry**	Banks - Regional
Market cap	INR 11,179,230,000,000.00	**Trailing P/E**	14.20
52-week range	INR 715.00 – INR 1,020.00	**Price / book**	1.86
Normalized EPS	INR 42.05	**Book value / share**	INR 390.00
Normalized FCF	INR 1,017,130,350,000.00	**Peer median**	3.03× P/B

Specialized financial-company data

Subtype: **Bank** • Source: Yahoo Finance + Screener.in + User reviewed input • Specialized secondary model: **Justified P/B**

Metric	Value	Status
Reviewed ROE	14.00%	Manual
Net interest margin	—	Public / derived
Financing margin	-10.00%	Public / derived
Gross NPA	1.24%	Manual
Net NPA	0.42%	Manual
Capital adequacy	19.60%	Manual
CET1	17.20%	Manual
Provision coverage	75.00%	Manual
CASA ratio	41.00%	Manual
Credit cost	0.80%	Manual
Deposit growth	14.34%	Public / derived
Loan growth	—	Public / derived
Cost-to-income	—	Public / derived
Equity-to-assets proxy	15.52%	Public / derived
Solvency ratio	—	Public / derived
Embedded value/share	—	Public / derived
Fair P/EV	—	Public / derived
VNB margin	—	Public / derived
Premium growth	—	Public / derived

Specialized-data note: Illustrative reviewed values — verify against the latest official investor presentation before use. NPA, capital, CET1, provisioning, CASA, credit-cost, solvency, embedded-value, and VNB figures must be verified against regulatory filings. Public proxies are explicitly labeled and are not regulatory substitutes.

Method and assumptions

Profile selected: Financial institution. The engine uses up to five annual observations for normalized inputs, a ten-year two-stage DCF (or residual income for financial institutions), Graham/book value, and live same-country peer medians. Sector-aware weights are 35%, 15%, and 50%. Missing methods are omitted and remaining weights are re-normalized. Scenarios are estimates, not price forecasts.

Valuation profile	Financial institution
Forecast period	10 years; growth fades after year 5
Base growth	16.8%
Base discount rate	11.5%

Base terminal growth	5.0%
Minimum / required MOS	20% / 28%
Financial risk score	25/100 (lower is better)
Data quality score	100/100
Live peers	ICICIBANK.NS, SBIN.BO, BAJFINANCE.BO, KOTAKBANK.NS, AXISBANK.BO, BAJAJFINSV.BO,
Data source	Yahoo Finance + Screener.in • HDFCBANK.NS
Source updated	2026-08-20
Sources checked	Yahoo Finance, Screener.in
Cache delivery	Network retrieval
Data retrieved	2026-08-20 07:40 UTC

Assumption review & override disclosure

Automatic defaults were used without manual overrides.

Phase-2 safety and confidence analytics

Business quality	84/100 (higher is better)	**Governance risk**	45/100 (lower is better)
Confidence	71/100 — Moderate	**Model dispersion**	92.0%
Reverse DCF	17.3% implied initial growth	**Required MOS**	28%



Safety scores invert financial/governance risk so longer green bars are better.
The market price implies approximately 17.3% annual initial growth for five years, fading thereafter.

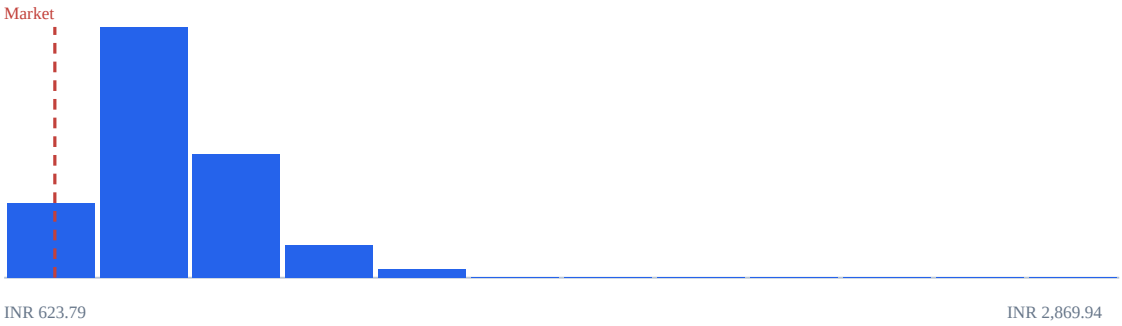
Fair-value sensitivity

Discount \ Terminal	4.0%	4.5%	5.0%	5.5%	6.0%
9.5%	INR 1,021.37	INR 1,041.78	INR 1,066.73	INR 1,097.90	INR 1,137.96
10.5%	INR 956.31	INR 968.71	INR 983.36	INR 1,000.93	INR 1,022.39
11.5%	INR 909.56	INR 917.49	**INR 926.62**	INR 937.27	INR 949.85
12.5%	INR 874.58	INR 879.83	INR 885.77	INR 892.56	INR 900.38
13.5%	INR 847.58	INR 851.16	INR 855.15	INR 859.63	INR 864.71

Green: above market price • Amber: near market price • Red: below market price • Bold: base assumptions

Monte Carlo valuation — Phase 3 item 11

P10	P25	Median	P75	P90	Probability FV > price	Simulations
INR 783.88	**INR 853.43**	**INR 936.93**	**INR 1,046.11**	**INR 1,168.57**	**97.4%**	**2,000**



Simulation varies normalized financial inputs, initial growth, discount rate, terminal growth, and peer multiples. Percentiles describe model uncertainty—not expected returns or the probability of making a profit.

Model audit trail

Analysis ID	FS-20260820-832D249060F4	**Model version**	FairValueEngine 4.3
Parent analysis	FS-20260820-20ABDB096CBB	**App / schema**	10.0.0 / 1.3
Created UTC	2026-08-20T07:40:13.696466+00:00	**Monte Carlo seed**	9749424564304122251
Audit SHA-256	47d9fc5a1d1650347cf7746a0e957c63ba502b7a9ec006[illegible]94a1f03a53	**Integrity**	Valid

Stage	Action	Details
Identity	Analysis created	analysis_id=FS-20260820-832D249060F4; parent_analysis_id=FS-20260820-20ABDB096CBB; app_version=10.0.0; model_version=FairValueEngine 4.3; audit_schema=1.3
Data	Source snapshot	symbol=HDFCBANK.NS; sources=Yahoo Finance, Screener.in; source_updated=2026-08-20; retrieved=2026-08-20 07:40 UTC; lineage_records=31; discrepancies=0; external_reviews=0; cache_status=network; cache_age_hours=0.0; is_stale=False
Methodology	Profile selected	profile=Financial institution; primary_model=Residual income; secondary_model=Justified P/B; peer_model=Peer P/B
Specialized financials	Financial-company metrics recorded	applicable=True; metrics={"automatic_values": {"capital_adequacy": null, "casa_ratio": null, "cet1_ratio": null, "cost_to_income": null, "credit_cost": null, "deposit_growth": 0.14339897701794757, "embedded_value_per_share": null, "equity_to_assets": 0.15521114409089454, "fair_price_to_embedded_value": null, "financing_margin": -0.1, "gross_npa": null, "loan_growth": null, "net_interest_margin": null, "net_npa": null, "premium_growth": null, "provision_coverage": null, "reviewed_roe": 0.136, "solvency_ratio": null, "vnb_margin": null}, "borrowings": 5884850000000.0, "capital_adequacy": 0.196, "casa_ratio": 0.41, "cet1_ratio": 0.172, "cost_to_income": null, "credit_cost": 0.008, "deposit_growth": 0.14339897701794757, "deposits": 30996380000000.0, "embedded_value_per_share": null, "equity_to_assets": 0.15521114409089454, "fair_price_to_embedded_value": null, "financing_margin": -0.1, "gross_npa": 0.0124, "loan_growth": null, "manual_fields": ["reviewed_roe", "gross_npa", "net_npa", "capital_adequacy", "cet1_ratio", "provision_coverage", "casa_ratio", "credit_cost"], "net_interest_margin": null, "net_npa": 0.0042, "premium_growth": null, "provision_coverage": 0.75, "review_note": "Illustrative reviewed values \u2014 verify against the latest official investor presentation before use.", "reviewed_roe": 0.14, "solvency_ratio": null, "source": "Yahoo Finance + Screener.in + User reviewed input", "subtype": "Bank", "total_assets": 49077010000000.0, "vnb_margin": null}

Stage	Action	Details
Normalization	Historical inputs normalized	fcf_observations=4; revenue_observations=4; income_observations=4; normalized_fcf=1017130350000.0; normalized_eps=42.05323641334638; book_value_per_share=390.0
Assumptions	Automatic baseline recorded	growth=0.1675070232682167; discount_rate=0.115; terminal_growth=0.05; years=10; dcf_weight=0.35; graham_weight=0.15; relative_weight=0.5; margin_of_safety=0.2
Assumptions	Reviewed assumptions accepted	preset=Automatic defaults; override_count=0; overrides={}; reviewer_note=None; growth=0.1675070232682167; discount_rate=0.115; terminal_growth=0.05; years=10; dcf_weight=0.35; graham_weight=0.15; relative_weight=0.5; margin_of_safety=0.2
Models	Base models executed	primary=698.0622262378057; graham_or_book=540.0000000000001; peer=1182.355785; blended=916.499671683232; excluded_models=None; peer_symbols=ICICIBANK.NS, SBIN.BO, BAJFINANCE.BO, KOTAKBANK.NS, AXISBANK.BO, BAJAJFINSV.BO, LICI.NS, SHRIRAMFIN.BO, SBILIFE.BO; fallback_used=False; fallback_reasons=None
Scenarios	Scenario values calculated	Conservative=789.6701907038181; Base=916.499671683232; Optimistic=1257.0344556353327
Risk	Scores and safety margin calculated	financial_risk=25; data_quality=100; business_quality=84; governance_risk=45; confidence=71; dynamic_margin=0.2797697228887287; model_dispersion=0.9201984591860317
Sensitivity	Sensitivity grid calculated	discount_rates=[0.095, 0.10500000000000001, 0.115, 0.125, 0.135]; terminal_growth_rates=[0.04, 0.045000000000000005, 0.05, 0.055, 0.060000000000000005]; cells=25
Monte Carlo	Simulation completed	seed=9749424564304122251; requested_iterations=2000; successful_iterations=2000; percentiles={"P10": 783.8783537219106, "P25": 853.4289045394798, "P50": 936.9341586714654, "P75": 1046.1129230208362, "P90": 1168.5651693300167}; probability_fair_value_above_price=0.9735
Decision	Final estimate recorded	market_price=725.9000244140625; fair_value=916.499671683232; upside_pct=26.25701072582538; mos_price=660.0908125088033; assessment=Below estimated fair value — safety margin not met

The SHA-256 hash provides tamper-evidence for this audit record; it is not a digital signature or guarantee of model accuracy.

Data lineage & citations

Metric	Value	Source	Period	Transformation	Status
Market price	INR 725.90	Yahoo Finance	2026-08-20	Official-site price selected when available; otherwise latest Yahoo close	Selected
One-year price history	251 sessions	Yahoo Finance	Through 2026-08-20	Latest available closing prices; last 252 sessions retained	Received
Shares outstanding	15,411,000,562	Yahoo Finance	2026-08-20	Reported shares outstanding; fallback to share-history endpoint	Received
Revenue history	4 annual values	Yahoo Finance	2026, 2025, 2024, 2023	Up to five annual statement values, latest first	Received

Metric	Value	Source	Period	Transformation	Status
Normalized net income	INR 648,082,450,000.00	Yahoo Finance	2026, 2025, 2024, 2023	Median of available annual net-income observations	Normalized
Normalized free cash flow	INR 1,017,130,350,000.00	Yahoo Finance	2026, 2025, 2024, 2023	Median of annual FCF; CFO minus capex fallback when needed	Normalized
Normalized EPS	INR 42.0532	Yahoo Finance	2026, 2025, 2024, 2023	Median annual net income divided by current shares; reported EPS fallback	Derived
Book value per share	INR 390.0000	Screener.in	2026-08-20	Public top ratio or equity divided by shares	Selected
Trailing P/E	14.200x	Screener.in	2026-08-20	Direct provider ratio	Selected
Market capitalization	INR 11,179,230,000,000.00	Screener.in	2026-08-20	Crore value converted to currency units	Selected
Return on equity	13.60%	Screener.in	2026-08-20	Direct ratio; Screener percentage converted to decimal	Selected
Total debt	INR 5,658,713,784,320.00	Yahoo Finance	2026, 2025, 2024, 2023	Latest available annual balance-sheet value	Received
Cash and equivalents	INR 2,377,666,265,088.00	Yahoo Finance	2026, 2025, 2024, 2023	Latest available annual balance-sheet value	Received
Peer median P/B	3.032x	Yahoo Finance	2026-08-20	Median of 9 screened same-region industry/sector peers after outlier bounds	Derived
Indian ratio cross-check	11 public top ratios	Screener.in	2026-08-20	Cross-check selected price and fundamental ratios	Verified
Official exchange price check	Unavailable	NSE India	—	Best-effort public website quote check	Unavailable
Financial company subtype	Bank	Classification engine	2026-08-20	Industry keyword classification for specialized model and risk rules	Derived
Financing margin	-10.00%	Screener.in	2026, 2025, 2024, 2023	Latest public P&L financing margin	Derived
Deposit growth	14.34%	Screener.in	2026, 2025, 2024, 2023	Latest deposits versus prior annual period	Derived
Equity-to-assets	15.52%	Yahoo Finance	2026, 2025, 2024, 2023	Book equity divided by total assets; not regulatory capital adequacy	Derived
Deposits	INR 30,996,380,000,000.00	Yahoo Finance + Screener.in	2026, 2025, 2024, 2023	Latest available financial-company balance-sheet value	Received
Borrowings	INR 5,884,850,000,000.00	Yahoo Finance + Screener.in	2026, 2025, 2024, 2023	Latest available financial-company balance-sheet value	Received
Total assets	INR 49,077,010,000,000.00	Yahoo Finance + Screener.in	2026, 2025, 2024, 2023	Latest available financial-company balance-sheet value	Received
Reviewed Roe	14.00%	User reviewed input	Current review	Manual specialized financial-company input; verify official filing	Manual

Metric	Value	Source	Period	Transformation	Status
Gross Npa	1.24%	User reviewed input	Current review	Manual specialized financial-company input; verify official filing	Manual
Net Npa	0.42%	User reviewed input	Current review	Manual specialized financial-company input; verify official filing	Manual
Capital Adequacy	19.60%	User reviewed input	Current review	Manual specialized financial-company input; verify official filing	Manual
Cet1 Ratio	17.20%	User reviewed input	Current review	Manual specialized financial-company input; verify official filing	Manual
Provision Coverage	75.00%	User reviewed input	Current review	Manual specialized financial-company input; verify official filing	Manual
Casa Ratio	41.00%	User reviewed input	Current review	Manual specialized financial-company input; verify official filing	Manual
Credit Cost	0.80%	User reviewed input	Current review	Manual specialized financial-company input; verify official filing	Manual

Links open the cited public source. Values can change after retrieval; this table records the period, retrieval context, and transformation used by the analysis.

Interpretation, limitations & risks

• Fair value is highly sensitive to growth, discount-rate, terminal-growth, and normalized earnings assumptions.

• Free Yahoo/Screener/NSE/BSE website data can be delayed, incomplete, restated, rate-limited, blocked, or unavailable; verify figures against company filings.

• Banks, insurers, REITs, cyclical firms, loss-making firms, and businesses with unusual capital structures may require specialized models.

• Live peers are screened through free Yahoo Finance region, industry/sector, and market-cap filters; they may still differ in growth, leverage, accounting, or business mix.

• Currency is native to the listing. This report does not fully model governance, taxes, FX, liquidity, or portfolio concentration.

• Reported diluted share count rose materially (40.2% annualized); verify mergers and corporate actions.

• Interest/financing margin is weak (-10.00%).

• Specialized scores remain screening aids; verify asset quality, capital, provisioning, and regulatory disclosures.

• Reported share count increased materially (40.2% annualized); verify dilution, splits, mergers, and corporate actions.

• Provider governance ratings were unavailable; auditor, board, and related-party review remains manual.

• Promoter pledging, related-party transactions, auditor qualifications, and contingent liabilities must be checked in NSE/BSE filings.

• Free Yahoo Finance data may be delayed, incomplete, rate-limited, or changed without notice. Verify official filings.

• NSE India verification unavailable: HTTPError.

• Cash flow and earnings inputs use up to five annual observations and median normalization when available.

• Available model weights are automatically re-normalized when a model cannot be calculated.

• Dynamic margin of safety is 28% versus the 20% minimum after financial, quality, governance, data, sector, and model-disagreement adjustments.

Important disclaimer

For education and research only. This is an automated estimate, not investment advice, a recommendation, an offer, or a guarantee of future returns. Market prices can differ materially from model values. Independently verify all data and consult a SEBI-registered investment adviser in India or an appropriately registered financial professional in your jurisdiction before making investment decisions.